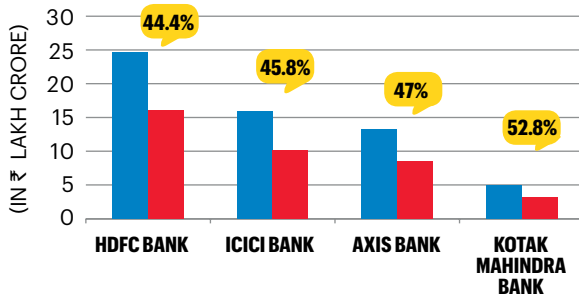


## HOW THEY STACK UP

► KOTAK MAHINDRA BANK HAS THE HIGHEST CASA OF 52.8 PER CENT AMONG PRIVATE BANKS

► IT SHOWS THE BANK IS BUILDING A QUALITY LOAN BOOK



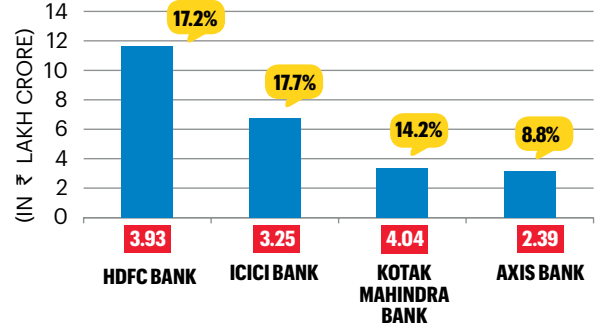
■ TOTAL ASSETS ■ LOANS & ADVANCES  
■ CASA AS A SHARE OF TOTAL DEPOSITS

**NOTE** FIGURES ARE FOR 2022-23; **SOURCE** ANNUAL REPORTS/PRESENTATIONS, CMIE INDUSTRY OUTLOOK

## STRONG NUMBERS

► KOTAK ENJOYS THE HIGHEST PRICE-TO-BOOK RATIO AMONG LISTED BANKS

► FUTURE UNLOCKING IN NON-BANK SUBSIDIARIES TO REWARD SHAREHOLDERS



■ M-CAP\* ■ CONSOLIDATED RETURN ON EQUITY#  
■ PRICE TO BOOK VALUE\* (X); \*AS OF SEPTEMBER 21, 2023; #DATA FOR 2022-23; **SOURCE** ACE EQUITY

per cent of our savings bank transactions occur through it. The foremost priority is ensuring an optimal customer experience,” says Ekambaram.

It’s not all about new people though. “We are upping the digital quotient of people at every level, including leadership levels. We are upgrading skills. We’re also rotating people,” says Ekambaram. “Culturally, it’s a big change in how the bank is working now,” says Manian.

### A NEW WAY

Months after joining, Bhasin hit the jackpot with a product called ActivMoney. This sweep deposit product, designed to give interest rates similar to fixed deposits in savings accounts, is seeing double-digit growth and already constitutes 7-8 per cent of the bank’s total deposits. Another priority for KMB will be granular deposits and liability franchises. (See box *How They Stack Up*). Bhasin has also instituted a research function within KMB. “We have put in place a programme called Meet Your Customers to get feedback,” he says.

Bhasin works closely with asset teams to examine the key drivers for a customer to buy a product. For instance, cash backs and discounts are key drivers for credit card customers; for personal loans, it is convenience; and interest rates are key for home loans, he explains. “The exercise... [is helping the bank to] improve the customer experience,” says Bhasin.

In fact, at KMB, unsecured loans—particularly

credit cards, personal loans, and small business loans—have surged from 3 per cent in pre-Covid-19 times to 10 per cent now. “We will go up to the mid-teens,” says Ekambaram. In the past six to seven years, the growth came from large corporates. But there are only a few big names. So, this April, KMB carved out a separate mid-corporate segment. “There is a huge opportunity in the mid-market segment where, apart from lending, there is a huge opportunity to do cash management and other fee-based products,” says Manian.

Then there’s the credit space where the world has moved to working on data to qualify consumers. Banks now pre-qualify customers and make them offers. This is where Kumar, Head of Retail and Commercial Risk, comes in.

### CHALLENGES AND MORE

However, there will be challenges. The industry dynamics are set to change with the entry of a digital-first Jio Financial Services. Plus, the stock market is already nervous about Kotak’s exit. But the fundamentals of the bank are very strong. “Their growth is higher than market growth. Their return ratios, like ROCE and ROE, are very high,” says Ajit Kabi, Banking Analyst at LKP Securities. Under the new leader, KMB will also explore inorganic growth opportunities. As Ekambaram says, KMB is open to “anything that’s value-accretive”.

The biggest challenge for KMB will be to keep its flock